

The Indian TEST AND MEASUREMENT INDUSTRY Outlook



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With the increasing complexity of electronic gadgets, testing has become imperative at every stage of product life-cycle. Test and measurement (T&M) systems play a critical role in ratifying the performance of a wide range of electronic products. These are used across the entire product life-cycle, starting from the product design and development phase, to production testing, pre- and post-market testing, as well as support. Thus, T&M and electronics industries grow hand-in-hand.

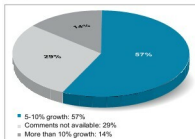
Market opportunities

A big business opportunity is brewing for the test and measurement (T&M) industry in India. This is due to a number of reasons like technology developments, expanding end-user applications and the growing need to validate the performance of equipment. Other factors driving growth in the T&M domain are stringent quality, safety and environmental standards for manufacturing, maintenance and use of equipment. Moreover, proper implementation of government initiatives like Make in India, 100 Smart Cities, Digital India and the defence manufacturing push will open up new opportunities for T&M industry players.

According to some industry experts, the current market size for the general-purpose T&M equipment alone is worth over US\$ 200 million. However, the market presents a much bigger opportunity considering that Global Industry Analysts Inc. (GIA), a California based market research firm, forecasts that the world market for general-purpose electronic T&M instruments will touch US\$ 6.8 billion by 2020.

Survey respondents forecast steady growth of the T&M sector in India, with around 57 per cent of them expecting it to grow at 5-10 per cent on year-on-year basis (Fig. 1).

Fig. 1: Y-O-Y growth rate forecast of the Indian T&M market



Methodology

The research team at ComConnect Consulting collated quantitative and qualitative information about the T&M equipment market through secondary research. Subsequently, these findings were analysed and verified from insights provided by key industry experts through exclusive interviews. Their insights were taken about:

1. Market size
2. Market opportunities
3. Approximate growth rate
4. Market drivers
5. Market trends
6. Technology trends

A trend analysis was done on the basis of industry experts' inputs.

Market drivers

In this age of rapidly evolving technology, the T&M domain has continuously leveraged as well as contributed to cutting-edge technology.

The Indian T&M market is driven by both global and domestic demand. Growth in this market is a result of the growth registered by key end-user segments like power, automotive, electronics and telecommunications hardware. Defence and other government sectors have also been instrumental in driving the growth of this sector. Besides, the increase in R&D activities across academic organisations is expected to further boost the demand.

Considering the strong government push to make in India in the strategic electronics sector, 70 per cent of the survey participants mentioned bright future of the defence manufacturing ecosystem in India and related opportunities for the T&M segment.

India has vast potential in telecommunications and mobile manufacturing too. With the Make in India initiative creating a wave of optimism and opportunities, mobile manufacturing is all set to gain further momentum. Sixty per cent of the experts are looking forward to the burgeoning opportunities in mobile handset manufacturing and allied verticals